their businesses mature and, therefore, cannot raise equity funds from the market or public.

Such small amounts of equity capital being raised through stock exchanges/public markets is symptomatic of an acute equity deficiency or equity crisis in India. This has not only emasculated the growth of industry and businesses but also led to many malpractices, including fraud, to convert loans taken into equity or by padding up equipment purchases to create equity.

In 2021–22, start-ups started raising capital from equity markets by listing. Most start-ups listed were at the stage of building their businesses. In that sense, the capital markets served the purpose of raising risk capital for new and growing businesses. As most of these start-ups were loss-making in the conventional sense, there was no good valuation metric for assessing the right capitalization value of these issues. Most issues also include a good part of the equity sold by existing shareholders to monetize their stakes.

Debt Markets in India

Debt is raised by all the economic agents: governments, businesses and households. It is also provided by many financial agents: banks, non-banks, asset-managing institutions and people in general directly. India has mostly developed as a debt-financed economy. Debt is raised in various forms with loans and bonds being the most prominent. The debt market is much larger than the equity market.

No single public agency in India keeps track of all the debt raised in India. The RBI keeps an account of the amount lent by banks as loans and cash credit. SEBI monitors debt raised in the form of debt securities. No one keeps track of amounts lent by savings management institutions like LIC, EPFO and NPS.